d. the measures needed to augment the Consolidated Fund of a state to supplement the resources of the municipalities in the state on the basis of the recommendations made by the Finance Commission of the state;
e. any other matter referred to the Commission by the President in the interests of sound finance.

The recommendation of the Finance Commission along with explanatory memorandum of action taken on the recommendation is to be tabled in Parliament.

Grants in aid

In addition to devolution of tax from the Centre to States under Article 275 the Centre can pay out of the Consolidated Fund of India to

a. The States which are in need of assistance the Parliament by Law determine. This amount need not be uniform for all states and need not be paid to all states. It is to be decided by the Parliament to which state and what amount needs to be paid.
b. Capital and recurring expenditures to states to meet the costs of schemes of development undertaken with the approval of the Centre for the purpose of promoting the welfare of the Scheduled Tribes or raising the level of administration of the scheduled areas to that of rest of the areas of the State.

This amount is paid to provide additional revenue to the states. So it is called grants-in-aid of the revenue of States. The basic principle governing this is being recommended by the Finance Commission.

Comptroller and Auditor- General of India

CAG is to ensure that financial prudence and procedures and conditions laid down by the Constitution and laws enacted by the Parliament and State Legislative assembly are followed.